🍞 The Great Depression & New Deal: Reading

US History · Unit 10 · Level 3 (closer to the class work) · goes with The Great Shake-Up video sheet, Boom to Bust, Hoovervilles, Dust Bowl, FDR's New Deal

Name: _____

From Boom to Bust

During the 1920s many Americans bought cars, radios and appliances on credit and bought stocks “on margin,” paying only a small part of the price with borrowed money. Farmers, meanwhile, struggled with low crop prices and debt. When stock prices began to fall in October 1929, investors rushed to sell. On Black Tuesday, October 29, 1929, the market collapsed.

The crash set off the Great Depression, the worst economic downturn in US history. About 9,000 banks failed during the 1930s, wiping out savings. By 1933 about one in four workers had no job. Families waited in bread lines and soup kitchens; even gangster Al Capone opened a Chicago soup kitchen. Homeless people built shack towns called Hoovervilles, including a large one in Seattle. Farmers dumped milk and let crops rot because prices were lower than the cost of shipping.

President Herbert Hoover, who had led food relief in Europe during WWI, believed in “rugged individualism”: charities, local governments and businesses, not the federal government, should help people. Many Americans blamed him. Meanwhile drought and over-plowing turned the southern Great Plains into the Dust Bowl. Black blizzards buried farms, and hundreds of thousands of families moved to California, where jobs were scarce and newcomers faced hostility. Dorothea Lange's “Migrant Mother” photograph showed their struggle.

Hundreds of thousands of people, many of them teenagers, rode freight trains as hobos searching for work. At the same time, local and federal officials forced or pressured more than a million people of Mexican descent to leave the US, and about 60 percent of them were US citizens. In California, writer Upton Sinclair ran for governor in 1934 with his EPIC (End Poverty in California) plan to put the unemployed to work in idle farms and factories.

In 1932 Americans elected Franklin D. Roosevelt, who promised a “New Deal.” He told the nation, “The only thing we have to fear is fear itself,” and used radio fireside chats to calm the public. New Deal programs such as the Civilian Conservation Corps (CCC), the Works Progress Administration (WPA), the FDIC and Social Security (1935) created jobs and a safety net. Many business leaders and wealthy Americans attacked FDR for expanding government power. The Depression did not fully end until World War II.

Check your reading

1. Give three causes of the Great Depression.

2. How did Hoover's and FDR's views on government help differ?

3. Why did many families move to California in the 1930s?